



REPORTABLE

**IN THE SUPREME COURT OF INDIA
CIVIL APPELLATE JURISDICTION
CIVIL APPEAL No..... OF 2025
(Arising out of SLP (C) Nos. 1377-1378/2022)**

**KOPARGAON SAHAKARI SAKHAR KARKHANA LTD
(NOW KNOWN AS KARMAVEER SHANKARRAO KALE
SHAHKARI SHAKHAR KARKHANA LTD.)**

...APPELLANT(S)

VERSUS

NATIONAL INSURANCE CO. LTD. & ANR.

...RESPONDENT(S)

J U D G M E N T

MANOJ MISRA, J.

- 1.** Leave granted.
- 2.** These two appeals arise from a Consumer Complaint No. 7 of 2007 filed by the appellant against the respondents before the Maharashtra State Consumer Dispute Redressal Commission, Mumbai, Circuit

Bench at Aurangabad¹. The State Commission *vide* order dated 24.07.2012 partly allowed the complaint and, *inter alia*, awarded Rs.49 lacs as compensation to the complainant-appellant with interest @ 6% p.a. w.e.f. 03.07.2006 till realization of the awarded amount.

- 3.** Against the order of State Commission two appeals were filed before the National Consumer Disputes Redressal Commission, New Delhi². Appeal No.166 of 2013 was by the appellant for enhancement of compensation whereas Appeal No.580 of 2012 was by the insurance company (i.e., the first respondent) against award of compensation.
- 4.** NCDRC allowed the appeal of the first respondent and dismissed the appeal of the appellant by a common judgment and order dated 09.11.2020, which is impugned in these appeals filed by the complainant-appellant.

¹ State Commission

² NCDRC

Facts

5. Relevant facts are as under:

(i) The appellant obtained an insurance policy from the first respondent (i.e., insurance company). The policy provided insurance cover, *inter alia*, to Boiler no.GT-23 for the period starting from 01.02.2005 up to 31.01.2006. The risk covered loss /damage up to Rs.1.60 crores.

(ii) On 12.05.2005, a blast/ explosion took place in that boiler. Intimation of the blast was provided to the boiler inspector as also to the first respondent.

(iii) The first respondent appointed a surveyor to inspect the boiler and assess the loss.

(iv) Based on surveyor's report, appellant's claim for compensation was repudiated by the first respondent *vide* letter dated 22.06.2005, which reads thus:

“NATIONAL INSURANCE COMPANY LTD.
(Subsidiary of General Insurance Corporation of India)
Branch Near Kanya Vidyalaya KOPARGAON-423601

Our ref.no.270708

22.06.2005

To,
The Managing Director,

The Kopargaon Sahakari Sakhar Karkhana Ltd.,
Gautamnagar, Kolpewadi, Kopargaon.

Dear Sir,

Re: Claim for accident damaged Boiler No.2 GT-23
on 14.05.2005 at night- Our Policy No.271901/
44/04/51/16. Claim No.271901/ 44/ 05/ 51/ 001

We refer to your claim intimation letter dt. 20.05.2005
& subsequent letter dt.21.06.2005 on the captioned
claim & would inform you as under:

Our Regional Office had appointed Shri Pradeep Tambe,
Surveyor to ascertain the exact cause of loss who carried
out the inspections about reported loss on 27.05.2005
at site & submitted his report. According to the report

1. Two number of boiler tubes had slipped off from the
connection with the drum. This connection was made
by expanding of tubes in boiler shell holes made for the
purpose of connection.
2. Other many tubes had become loose in expanded
portion, which were marked by chalk.
3. The tubes were seen bulged for rest of the portion of
length of tubes.
4. In the region of expansion of tube heavy corrosion was
observed.
5. Majority of those tubes were fitted in 1986 and had
served their useful life.

Based on the above observations and photographs the
loss was occasioned by wasting of tube material in way
of expansion joint due to corrosion which is a slow
deterioration over a period of about 20 years resulted
into failure of expanded joint of tubes with steam drum.
Further bulging of tubes in general is also in one
direction only indicating that it has happened due to
long usage.

All above reasons are detailed in exclusion no.5 of our
BPP policy issued to you and we quote the same here for
your reference.

Defects due to the wearing away or wasting of the materials of a boiler or a pressure plant whether by leakage, corrosion or by the action of fuel or otherwise the grooving or the fracturing of any of the parts of a boiler or pressure plant or for deterioration generally or for the development of cracks, blisters, limitation and other flaws or fractures failures of joint within the range of steam or feed pipes or for bulging and deformation due to overheating of tubes (unless such defect, fractures, failure or bulging result in explosion or collapse) or for the cracking of section of cast iron heating boilers or other vessels constructed of cast iron.

In view of the above referred reasons which are falling under exclusion no.5 of our B.P.P. Policy, we are absolved from the liability under the policy and hence we repudiate your claim.

We regret the inconvenience caused to you.

Kindly acknowledge receipt.

Sd/-
BR. MANAGER”

(i) On receipt of the repudiation letter, the appellant made a fresh representation to the first respondent. In the meantime, Maharashtra State Insurance Fund also appointed a joint surveyor who submitted a report on 16.01.2006. In their opinion, there was no explosion in the boiler. Rather, leakage was from boiler tubes which had slipped off from the expanded portion in the drum.